

: Judged from ratio of tax revenue to State income.

: The non-correspondence between the expenditure requirements of the functions and the extent of revenue raised from the sources assigned to the unit governments as compared to the national government in a federation.

12.9 REFERENCES

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- 9) Twelfth Finance Commission (2003), *Fifty Years of Fiscal Federalism: Finance Commissions of India*, New Delhi: Government of India [This publication contains ToR, composition, summarized approach, main recommendations and action taken report of first 11 Finance Commissions – excellent source for a history of Finance Commissions].
- 10) Source-GST Council.gov.om/sites/default/files/gst.update010719

12.10 ANSWERS OR HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) See Section 12.1
- 2) See Section 12.2
- 3) See Sub-Section 12.2.2 and 12.2.3
- 4) See Sub-Section 12.2.4

Check Your Progress 2

**Major Development on Union
State Relations**

- 1) See Sub-Section 12.3.1
- 2) See Section 12.4
- 3) See Sub-Section 12.3.3
- 4) See Section 12.4

Check Your Progress 3

- 1) See Sub-Section 12.5.1
- 2) See Sub-Section 12.5.2
- 3) See Section 12.5



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APPENDIX 12.1: TOR OF THE 14TH FINANCE COMMISSION

- “4) The Commission shall make recommendations as to the following matters:
- i) the distribution between the Union and the States of the net proceeds of taxes which are to be, or may be, divided between them under Chapter I, Part XII of the Constitution and the allocation between the States of the respective shares of such proceeds;
 - ii) the principles which should govern the grants-in-aid of the revenues of the States out of the Consolidated Fund of India and the sums to be paid to the States which are in need of assistance by way of grants-in-aid of their revenues under article 275 of the Constitution for purposes other than those specified in the provisos to clause (1) of that article; and(iii) the measures needed to augment the Consolidated Fund of a State to supplement the resources of the Panchayat and Municipalities in the State on the basis of the recommendations made by the Finance Commission of the State.
- 5) The Commission shall review the state of the finances, deficit and debt levels of the Union and the States, keeping in view, in particular, the fiscal consolidation road map recommended by the Thirteenth Finance Commission, and suggest measures for maintaining a stable and sustainable fiscal environment consistent with equitable growth including suggestions to amend the Fiscal Responsibility and Budget Management Acts currently in force and while doing so, the Commission may consider the effect of the receipts and expenditure in the form of grants for creation of capital assets on the deficits; and the Commission shall also consider and recommend incentives and disincentives for States for observing the obligations laid down in the Fiscal Responsibility and Budget Management Acts.
- 6) In making its recommendations, the Commission shall have regard, among other considerations, to:
- i) the resources of the Central Government, for five years commencing on 1 April 2015, on the basis of levels of taxation and non-tax revenues likely to be reached during 2014-15;
 - ii) the demands on the resources of the Central Government, in particular, on account of the expenditure on civil administration, defence, internal and border security, debt-servicing and other committed expenditure and liabilities;
 - iii) the resources of the State Governments and the demands on such resources under different heads, including the impact of debt levels on resource availability in debt stressed states, for the five years commencing on 1 April 2015, on the basis of levels of taxation and non-tax revenues likely to be reached during 2014-15;
 - iv) the objective of not only balancing the receipts and expenditure on revenue account of all the States and the Union, but also generating surpluses for capital investment;
 - v) the taxation efforts of the Central Government and each State Government and the potential for additional resource mobilisation to

improve the tax-Gross Domestic Product ratio in the case of the Union and tax-Gross State Domestic Product ratio in the case of the States;

- vi) the level of subsidies that are required, having regard to the need for sustainable and inclusive growth, and equitable sharing of subsidies between the Central Government and State Governments;
 - vii) the expenditure on the non-salary component of maintenance and upkeep of capital assets and the non-wage related maintenance expenditure on plan schemes to be completed by 31 March, 2015 and the norms on the basis of which specific amounts are recommended for the maintenance of the capital assets and the manner of monitoring such expenditure;
 - viii) the need for insulating the pricing of public utility services like drinking water, irrigation, power and public transport from policy fluctuations through statutory provisions;
 - ix) the need for making the public sector enterprises competitive and market oriented; listing and disinvestment; and the relinquishing of non-priority enterprises;
 - x) the need to balance management of ecology, environment and climate change consistent with sustainable economic development; and
 - xi) the impact of the proposed Goods and Services Tax on the finances of Centre and States and the mechanism for compensation in case of any revenue loss.
- 7) In making its recommendations on various matters, the Commission shall generally take the base of population figures as of 1971 in all cases where population is a factor for determination of devolution of taxes and duties and grants-in-aid; however, the Commission may also take into account the demographic changes that have taken place subsequent to 1971.
- 8) The Commission may review the present Public Expenditure Management systems in place including the budgeting and accounting standards and practices; the existing system of classification of receipts and expenditure; linking outlays to outputs and outcomes; best practices within the country and internationally, and make appropriate recommendations thereon.
- 9) The Commission may review the present arrangements as regards financing of Disaster Management with reference to the funds constituted under the Disaster Management Act, 2005 (53 of 2005), and make appropriate recommendations thereon.
- 10) The Commission shall indicate the basis on which it has arrived at its findings and make available the State-wise estimates of receipts and expenditure.”

The following additional item was added to the ToR of the Commission vide President's Order published under S.O. No. 1424(E) dated 2 June 2014 (Annex 1.2):

“Para 5 A. The Commission shall also take into account the resources available to the successor or re-organised States on re-organisation of the State of Andhra Pradesh in accordance with the Andhra Pradesh Re-organisation Act, 2014 (6 of 2014) and the Ministry of Home Affairs notification number S.O. 655 (E) dated 4 March, 2014 and make recommendations, for successor or re-organised States, on the matters under reference in this notification”.

APPENDIX 12.2: TOR OF THE 15TH FINANCE COMMISSION

- “4) The Commission shall make recommendations as to the following matters, namely:—
- i) The distribution between the Union and the States of the net proceeds of taxes which are to be, or may be, divided between them under Chapter I, Part XII of the Constitution and the allocation between the States of the respective shares of such proceeds;
 - ii) The principles which should govern the grants-in-aid of the revenues of the States out of the Consolidated Fund of India and the sums to be paid to the States by way of grants-in-aid of their revenues under Article 275 of the Constitution for purposes other than those specified in the provisos to clause (1) of that article; and
 - iii) The measures needed to augment the Consolidated Fund of a State to supplement there sources of the Panchayats and Municipalities in the State on the basis of the recommendations made by the Finance Commission of the State.
- 5) The Commission shall review the current status of the finance, deficit, debt levels, cash balances and fiscal discipline efforts of the Union and the States, and recommend a fiscal consolidation roadmap for sound fiscal management, taking into account the responsibility of the Central Government and State Governments to adhere to appropriate levels of general and consolidated government debt and deficit levels, while fostering higher inclusive growth in the country, guided by the principles of equity, efficiency and transparency. The Commission may also examine whether revenue deficit grants be provided at all.
- 6) While making its recommendations, the Commission shall have regard, among other considerations, to:
- i) The resources of the Central Government and the State Governments for the five years commencing on 1st April 2020 on the basis of the levels of tax and the non-tax revenues likely to be reached by 2024-25. In the context of both tax and non-tax revenues, the Commission will also take into consideration their potential and fiscal capacity;
 - ii) The demand on the resources of the Central Government particularly on account of defence, internal security, infrastructure, railways, climate change, commitments towards administration of UTs without legislature, and other committed expenditure and liabilities;
 - iii) The demand on the resources of the State Governments, particularly on account of financing socioeconomic development and critical infrastructure, assets maintenance expenditure, balanced regional development and impact of the debt and liabilities of their public utilities;
 - iv) The impact on the fiscal situation of the Union Government of substantially enhanced tax devolution to States following recommendations of the 14th Finance Commission, coupled with the

continuing imperative of the national development programme including New India – 2022;

- v) The impact of the GST, including payment of compensation for possible loss of revenues for 5 years, and abolition of a number of cesses, earmarking thereof for compensation and other structural reforms programme, on the finances of Centre and States; and
 - vi) The conditions that GoI may impose on the States while providing consent under Article 293(3) of the Constitution.
- 7) The Commission may consider proposing measurable performance-based incentives for States, at the appropriate level of government, in following areas:
- i) Efforts made by the States in expansion and deepening of tax net under GST;
 - ii) Efforts and Progress made in moving towards replacement rate of population growth;
 - iii) Achievements in implementation of flagship schemes of Government of India, disaster resilient infrastructure, sustainable development goals, and quality of expenditure;
 - iv) Progress made in increasing capital expenditure, eliminating losses of power sector, and improving the quality of such expenditure in generating future income streams;
 - v) Progress made in increasing tax/non-tax revenues, promoting savings by adoption of Direct Benefit Transfers and Public Finance Management System, promoting digital economy and removing layers between the government and the beneficiaries;
 - vi) Progress made in promoting ease of doing business by effecting related policy and regulatory changes and promoting labour intensive growth;
 - vii) Provision of grants in aid to local bodies for basic services, including quality human resources, and implementation of performance grant system in improving delivery of services;
 - viii) Control or lack of it in incurring expenditure on populist measures; and
 - ix) Progress made in sanitation, solid waste management and bringing in behavioural change to end open defecation.
- 8) The Commission shall use the population data of 2011 while making its recommendations.
- 9) The Commission may review the present arrangements on financing Disaster Management initiatives, with reference to the funds constituted under the Disaster Management Act, 2005 (53 of 2005), and make appropriate recommendations thereon.
- 10) The Commission shall indicate the basis on which it has arrived at its findings and make available the Statewise estimates of receipts and expenditure.”

Monetary and Fiscal Policies

Subsequent to the publication of these ToR, a fresh Term of Reference was added for the consideration of the Commission. The Commission was asked “to examine whether a separate mechanism for funding of defence and internal security ought to be set up and if so, how such a mechanism could be operationalised.” Also, the change in the status of Jammu and Kashmir from a State to a Union Territory necessitated changes in the 15th FC methodology, since Union Territories are outside the purview of the Finance Commission.



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